

Are you ready for AI? Acme Bakes Ltd

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What we already do well

Privacy Law. Acme Bakes is registered with the ICO (ZA000123) and has a privacy notice covering how customer names, addresses and order histories are used. Customer data is never pasted into an AI tool, sample data is used instead.

Defamation. Every product claim in AI-written marketing, such as gluten free or nut free, is checked by a person against the recipe sheet before it is published.

Contract Law. Our supplier terms already forbid using our recipes to train other companies' AI tools.

Where we have gaps

Privacy Law. The privacy notice does not mention AI tools at all, and does not name the email assistant provider as a processor.

IP Law. We use AI to draft product descriptions and images but have not checked who owns the output or whether it copies someone else's design.

Governance. There is no record of which AI produced which piece of marketing, so a challenged claim has no audit trail behind it.

What could go right if we close the gaps

A short written AI use policy is about a day of work. It would show customers and insurers how Acme Bakes uses AI, which few small bakeries can do.

Labelling AI-assisted content clearly builds trust with customers who care about hand-made products.

A recorded checking process makes larger trade customers, such as cafes who ask about compliance, reachable.

What could go wrong if we do not

Defamation and Product Liability. A wrong allergy claim written by AI could harm a customer. The liability would sit with Acme Bakes, not the tool.

Privacy Law. Customer data typed into an AI tool without a lawful basis could lead to ICO enforcement, and once absorbed it cannot be recalled.

AI Regulation. The EU AI Act does not apply while Acme Bakes sells only in the UK, but one EU customer would change that.

Labour Law. Acme Bakes has no employees, so discrimination and job displacement risks are low today, but they would apply if we hired and used AI to screen applicants.

Looking back

Seven areas were considered and they do not weigh the same. Privacy Law and Defamation weigh most because Acme Bakes holds customer data and publishes allergy claims. Product Liability matters mainly through those claims. Labour Law is dormant until we hire. AI Regulation is low while we sell only in the UK.

Doing this showed me the gaps are in paperwork rather than technology, which makes them cheap to fix. It also showed me that the confident answer and the correct answer are not always the same, so the human check is the real safeguard.

Next steps: write a one page AI use policy, add an AI section to the privacy notice, and name every tool in the processor list. Acme Bakes will review this every six months.